



INDIAN LAW & DEALMAKING · 19 SEPTEMBER 2026

Five moves shaping the board now.

- › Supreme Court backs IRP remuneration judicial scrutiny
- › Bombay High Court clarifies section 96 insolvency protection
- › Karnataka High Court sets aside large metro arbitration award
- › Madhya Pradesh High Court restricts rehabilitation policy overrides
- › SEBI expands Samuhik Prativedan Manch compliance perimeter

SWIPE →



SUPREME COURT · CORPORATE INSOLVENCY

01 / 05

Supreme Court Upholds Judicial Scrutiny Over IRP Fees

On September 9, 2026, in Mohd Nazim Khan versus HDFC Bank Limited, the Supreme Court declined to interfere with an NCLAT ruling confirming that Committee of Creditors remuneration decisions for Interim Resolution Professionals remain open to judicial oversight. The bench ultimately upheld the appellate finding fixing total fees at three lakh rupees.

THE READ

Insolvency professionals face tighter compensation governance. Financial creditors retain core fee discretion, but arbitrary cuts or inflated payouts invite systemic judicial review.



Section 96 Moratorium Does Not Shield Company Debt

On September 7, 2026, in Jagmohan Garg versus National Spot Exchange Limited, the Bombay High Court held that personal insolvency interim moratoriums under section 96 of the IBC do not stay section 138 cheque bounce prosecutions for corporate liabilities. The court ruled that company debt does not convert into personal debt for vicariously liable directors.

THE READ

Promoters cannot misuse personal insolvency filings to halt criminal liability. Corporate default prosecutions will proceed independently of individual insolvency proceedings.



Karnataka High Court Sets Aside Metro Claim Award

On September 18, 2026, according to corporate legal roundups, the Karnataka High Court set aside a thirteen crore rupee arbitral award granted to Larsen and Toubro in a Bengaluru metro contract dispute. The challenge centered on contested interpretation of contractual clauses and pre-reference claim maintainability.

THE READ

Infrastructure contractors face rigorous judicial scrutiny on arbitral claims. Tribunals must anchor awards strictly within contractual text to survive high court challenges.



MADHYA PRADESH HIGH COURT · INSOLVENCY CLAIMS

04 / 05

Welfare Rehabilitation Policies Cannot Revive Extinguished Claims

On September 18, 2026, the Madhya Pradesh High Court ruled that state welfare-oriented rehabilitation policies cannot preserve operational or statutory claims extinguished under approved resolution plans. The judgment reinforces finality principles governing corporate restructuring under the insolvency code.

THE READ

Clean slate protections remain paramount for incoming investors. State entities cannot bypass statutory IBC write-offs using local welfare guidelines.



SEBI · SECURITIES REGULATION

05 / 05

SEBI Brings Clearing Members Under Manch Platform

On September 18, 2026, market regulator SEBI announced that clearing members will be brought under the Samuhik Prativedan Manch compliance reporting framework starting September 30, 2026. The integration aims to streamline regulatory disclosures across market intermediaries.

THE READ

Clearing infrastructure faces heightened compliance reporting standards. Intermediaries must upgrade data submission mechanisms ahead of the end-month deadline.



THE THROUGH-LINE

Recent judicial pronouncements across the Supreme Court and high courts signal an uncompromising push toward statutory finality and commercial discipline. Tribunals and regulators are systematically dismantling procedural loopholes, whether in corporate resolution plan clean slates or director liability shields. For dealmakers and general counsel, this environment demands absolute precision in drafting and compliance execution.





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